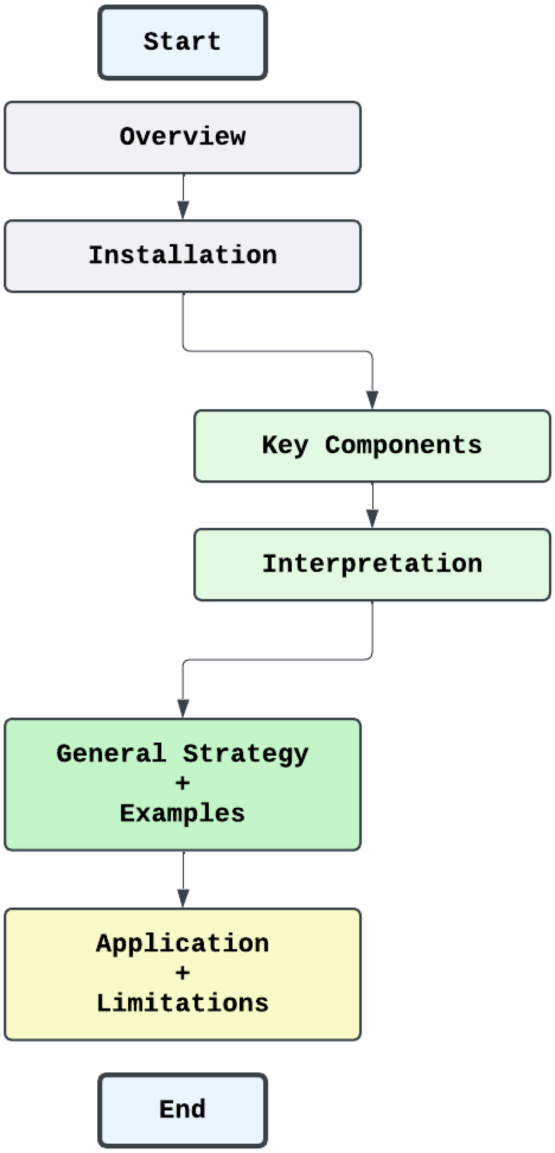

MOMENTUM + REVERSION INDICATOR

ONBOARDING DOCUMENTATION v1.0

This document is designed to help new users set up and understand the ***Momentum + Reversion*** indicator. The guide will walk you through its features, interpretation, and best practices.

A. Overview

The ***Momentum & Reversion*** indicator is a technical analysis that helps traders both identify and emphasize price momentum and reversion environments. It provides visual cues through colored fills, plotted lines, and dynamic labels to assess whether the market is in a:

1. Strong Bullish Trend
2. Strong Bearish Trend
3. Biased Directionally
4. Showing Mixed Signals

⚠️ This indicator is versatile in its calculation where it can be applied to any market *(e.g. stocks, forex, crypto, or any market with volume data. It is not a standalone trading system but a decision-support tool.*

B. Installation Instructions

1. Open this link: Momentum & Reversion Indicator

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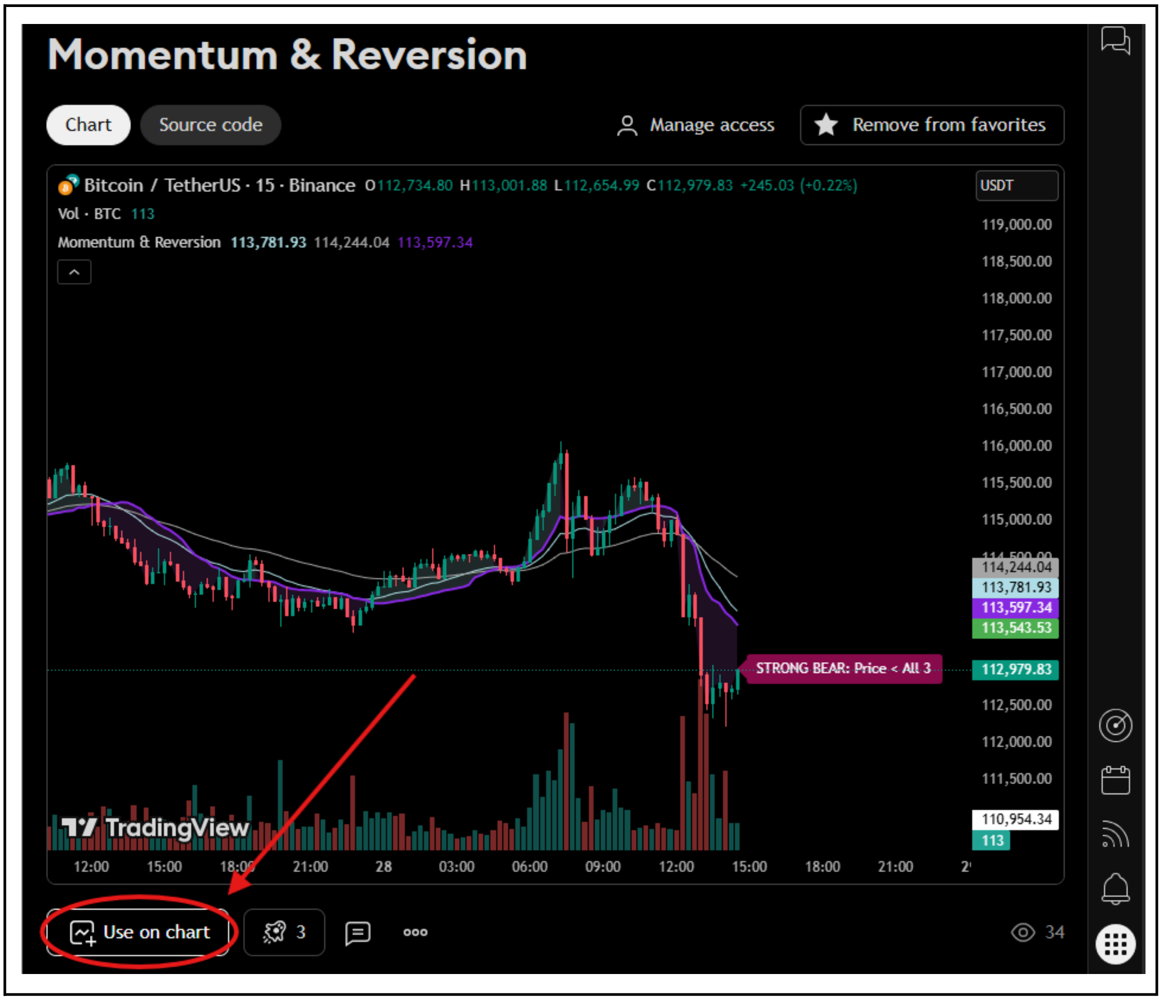
2. Click “Use on Chart”



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3. Done! ✓

C. Key Components

Component	Description	Visual Cue
Fast	Represents and reacts to shorter-term trends Smooths recent price action	Cyan Line
Slow	Represents and reacts to medium-term trends Captures broader trend	Dark Gray Line
Anchor	Acts as the the dynamic support/resistance Identifies conviction of value trend	Purple Line
Price vs. Fill (Momentum)	Background fill between close and Anchor, showing immediate momentum bias Bullish pressure: price is trading above the anchor with general expectations of continuation upward if momentum lines hold support against price	Cyan Fill
Price vs. Fill (Reversion)	Background fill between close and Anchor, showing immediate reversion bias Bearish pressure: price is trading below the anchor with general expectations of continuation downward if momentum lines hold resistance against price	Purple Fill

D. Interpretation

The core value from utilizing this indicator comes from understanding how price positions itself relative to each line and combined stack.

Market Bias	Visual Stack	Interpretation	General Strategy
Strong Bull (+++)	1.Price 2.Anchor 3.Fast 4.Slow [PRICE]	Strong upward momentum Price leading all components Confirmed momentum trend	Long-biased for position entries Confirmation in holding long positions or exiting short positions Watch for overextension above and reversion back into anchor support **Confirmed Momentum Trend**
Bullish Bias (+)	1.Slow 2.Price 3.Fast 4.Anchor [PRICE]	Bullish bias short-term, but below medium-term trend Possible reversion upward	Long biased if volume supports Caution on pullbacks **Momentum Start**
Mixed Bias	Price > Anchor But < Fast + Slow	Conflicting signals	Neutral Wait for clarity

		Short-term weakness despite Anchor Support	or **Range Trading**
Mixed Bias	Price < Anchor But > Fast + Slow	Conflicting signals Momentum positive Anchor Resistance	Neutral Potential reversion to Anchor Potential Resistance against Anchor **Range Trading**
Bearish Bias (-)	1. Anchor 2. Fast 3. Price 4. Slow [PRICE]	Bearish bias short-term, but above medium-term trend Possible reversion downward	Consider shorts Monitor for resistance and continuation downward **Reversion start**
Strong Bear (---)	1. Slow 2. Fast 3. Anchor 4. Price [PRICE]	Strong downward reversion Price lagging all components Confirmed reversion trend	Short-biased for position entries Confirmation in holding short positions or exiting long positions Confirmation in holding short positions **Confirmed Reversion Trend**

I. Cheat Sheet

i. Momentum Bias

- Cyan Fill ( ) + Price above lines = Look for continuation trades.
- Long entries above/on Anchor line.

ii. Reversion Bias

- Purple Fill ( ) + Price below lines = Look for pullbacks or reversal
- Short entries below/against Anchor line.

iii. Momentum Start

- Price is finding support on the Anchor line ( ) and is starting to curl upward/crossing above Fast + Slow lines.
- Long entries near or on Anchor line.

iv. Reversion Start

- Price is finding resistance against the Anchor line ( ) and is starting to curl downward/crossing below Fast + Slow lines.

E. General Strategy + Examples

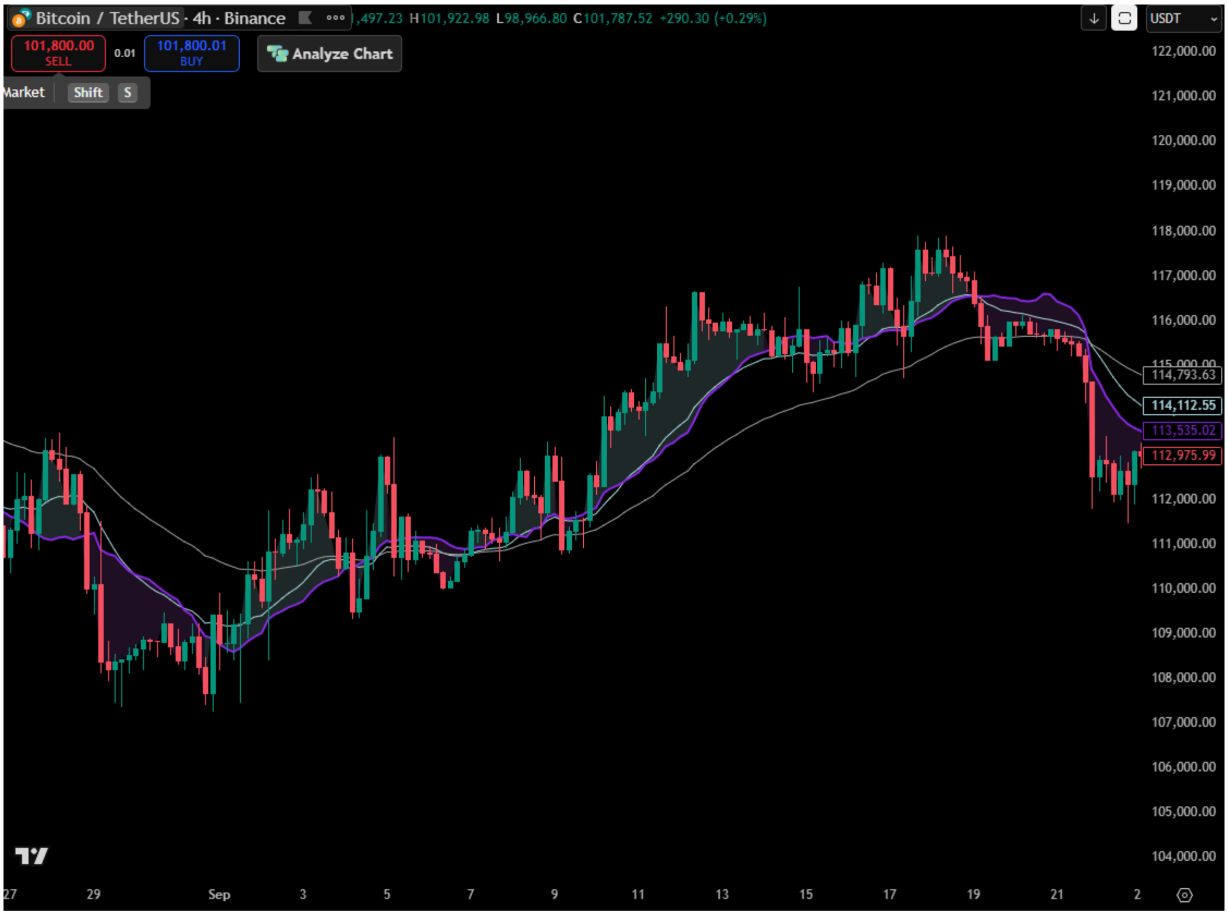
This indicator is designed to guide trading decisions by classifying market conditions into two environments:

1. Bullish Momentum
2. Bearish Reversion

The general strategy revolves around aligning trades with the prevailing bias while managing risk through confirmations such as:

1. Volume
2. Price reaction against line stack

I. Momentum Continuation



i. Description

Capitalize on strong trends by entering when momentum has been confirmed, aiming for continuation until signs of weakness or invalidation.

ii. Entry

- As price trends upward, momentum has been confirmed by the indicator’s Cyan fill.
- Price continuously finds support on Anchor / Fast / Slow lines

- Long entries are most optimal near Anchor support

Price
Anchor Line
Fast Line
Slow Line

ii. Invalidation/Exit

- As price loses steam in its trend upward, invalidation occurs when price fails to find support on the Anchor line and succeedingly finds resistance against it.
- Continuous resistance against either the Anchor line, Fast Line, or Slow Line serves as invalidation.
- Visual Stack:

Anchor Line

Price
Fast Line
Slow Line

II. Reversion Pullback

i. Description

Reversion environments are identified when price trades underneath the Anchor line. Continuous resistance against the Anchor line confirms that price is either starting a pullback or continuing a downtrend.

ii. Entry

- As price continuously finds resistance against the Anchor line, the potentiality for a reversion pullback increases.
- Price continuously finds resistance, on Anchor and respective lines are starting to curl down.
- Once the Anchor line crosses below the Fast and Slow line.

- Visual Stack:

Slow Line

Fast Line

Anchor Line

Price

ii. Invalidation/Exit

- As price approaches the Anchor line from underneath with higher lows and price reclaims support on the Anchor line.
- Succeedingly, Price finds support on the Fast line.

- Visual Stack:

Slow Line

Fast Line
Price
Price

F. Applications and Limitations

This section covers practical ways to apply this indicator across different trading styles and timeframes, with a focus on multi-timeframe confluence. Use these guidelines to integrate the indicator into your overall trading system as you see fit.

I. Multi-Timeframe Confluence

Time Frame	Time Outlook	Use Case
Weekly	Primary trend over the course of 1-2 months	Swing Trend ID
Daily	Trend over the course of 1-4 weeks	Swing Trend ID
4H	Trend over the course of 1-2 weeks	Swing Trend ID
1H	Trend over the course of 1-5 days	Position Entry/Exit
15m	Trend over the course of 1-2 days	Position Entry/Exit
5m	Trend over the course of 1 day	Position Entry/Exit

Example:

1W: Strong Momentum -> Look for long-biased entries
1D: Strong Momentum -> Look for long-biased entries
4H: Mixed Signals -> Wait for confirmation
1H: Strong Reversion -> Wait for price to sweep Anchor line
15m: Weakening Reversion -> Enter on Anchor Line sweep/bounce

II. Limitations

While powerful, the indicator has constraints. Understanding them prevents over-reliance and false confidence.

Limitation	Description	Interpretation
Lagging Nature	All components are backward-looking Strong signals often serve as confirmation of environment	Use to identify the environment, You must combine with other indicators to use
Volume Dependency	The more volume, the higher the accuracy The lower the volume, the lower the accuracy	Low volume environments provide false signals, noise, and extrapolated scenarios
False Breakouts	Price briefly crosses Anchor but reverses	A sweep can be rejected Requires close above/below + volume confirmation
Indicator Confluence	The indicator by itself is not sufficient Requires confluence with the whole system for higher accuracy/success	Utilizing Average Range, Ebb+Flow, and S/R are required to plan entry/exits with higher success

This indicator is a bias engine, not a signal generator.

Trade the structure. Let the indicator confirm.